

WHEN THE NUMBERS GET TOUGH...

...the tough get numbers. Wait, what?

So far, this chapter has been optimistic at the very least. Finding a house within your budget that meets your lifestyle expectations is hard enough. What if finding a house with reasonable income potential just isn't possible?

Rather than throwing your hands in the air in frustration and settling for a mansion in Pleasantville, you might want to look instead for more creative opportunities to add value. For example:

- If you are confident that you can improve a property by way of substantial updates, that home's value and rental rates will increase once those updates are complete. (But hopefully you are very, very confident in your DIY skills. Please don't start knocking down walls for fun and then blame it on us.)
- If you can add livable space to a house—by adding bedrooms or bathrooms or finishing out attic or basement space—that can also result in higher home values and higher rental rates.
- If a property is in a location that is welcoming to short-term rentals—with government policy that indicates this is likely to continue—you can generate dependable income after you move out. (But remember: Ye be warned of the allure of short-term rentals.)
- Maybe there's a hyper-local factor that can influence your finances. For example, there is incredibly high demand in Annapolis, Maryland, for short-term rentals every year around the time of the U.S. Naval Academy's graduation ceremonies. Many residents are able to make a significant profit by timing their annual vacations around this major event. They offset one or more full months of mortgage payments with short-term rental income just from a handful of weekends.

Long story short, don't be a quitter. These are just a few examples of how you can put on your thinking cap and outsmart what might look like a tricky housing market. Think of it like having nothing in your pantry but